AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI

ANNUAL EXAMINATIONS (THEORY) 2025

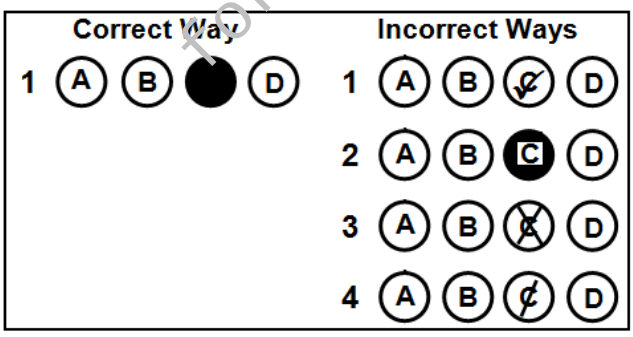
Principles of Accounting Paper I

Time: 1 hour 10 minutes Marks: 40

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 40 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a scientific calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. Review the following word cloud.



With reference to functions and objectives of accounting, the given information is required for all stakeholders of a company EXCEPT

A. investors.
B. consumers.
C. government.
D. entrepreneurs.

2. The contra account for a non-current (fixed) asset would be

A. drawing account.
B. suspense account.
C. provision (allowance) for bad debts.
D. provision (allowance) for depreciation.

3. In the beginning of the financial year, Ali pays Rs 250,000 annual rent for a shop premises via cross cheque.

The given payment in the books of Ali would be classified as

A. accrued income.
B. prepaid expense.
C. unearned income.
D. outstanding expense.

4. A business recorded the purchase of asset at a price on which it was acquired.

This action of the business is based on the accounting principle of

A. consistency.
B. dual aspects.
C. historical cost.
D. business entity.

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5. Which of the following transactions is classified as a 'cash transaction'?

   A. Ambreen purchases packaging materials on account for Rs 75,000.
   B. Aleem purchases furniture from Alpha Furnitures for Rs 150,000 on credit.
   C. Kaleem purchases online office supplies worth Rs 70,000 through a debit card.
   D. Samreena purchases a laptop and printer through hire-purchase for Rs 175,000.

Use the given information to answer Q.6 and Q.7.

United Traders utilises a bank overdraft facility to disburse an employee's salary of Rs 50,000 from their bank account.

6. If the given salary is paid in advance by United Traders, then the given transaction of the business will be categorised as

   A. advance from customers.
   B. advance to suppliers.
   C. unearned income.
   D. prepaid expense.

7. The transaction performed by the business in the given situation will be classified as an increase in

   A. current assets.
   B. current liability.
   C. non-current (fixed) assets.
   D. non-current liability.

8. Aslam is a manufacturer of plastic containers. His clients are producers of medicines. To maintain his production records properly, he needs information for giving quotations and estimation of the cost of production to different vendors.

   With reference to the given scenario, the MOST suitable form of accounting would be

   A. book keeping.
   B. cost accounting.
   C. financial accounting.
   D. managerial accounting.

9. General journal records the business transactions in

   A. chronological order.
   B. alphabetical order.
   C. decreasing order.
   D. increasing order.

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10. The following trail balance is extracted from the books of a business:

S. No.	Particular	Debit (Rs)	Credit (Rs)
1	Cash	15,000	
2	Capital		150,000
3	Trade receivable (account receivable)		25,000
4	Trade payable (account payable)	15,000	
5	Wages expense	25,000	
6	Supplies	15,000	
7	Equipment	70,000	
8	Purchases	35,000	
9	Sales		45,000

The account titles that have been wrongly posted in the given trial balance are

A. cash and capital.
B. sales and purchases.
C. equipment and wages expense.
D. trade payable (account payable) and trade receivable (account receivable).

11. A cashier has been notified via email that a customer has made a direct deposit of Rs 25,000 into the business account for instalment sales.

The given transaction will be recorded in the cashbook at

A. cash column of the receipt side.
B. bank column of the receipt side.
C. cash column of the payment side.
D. bank column of the payment side.

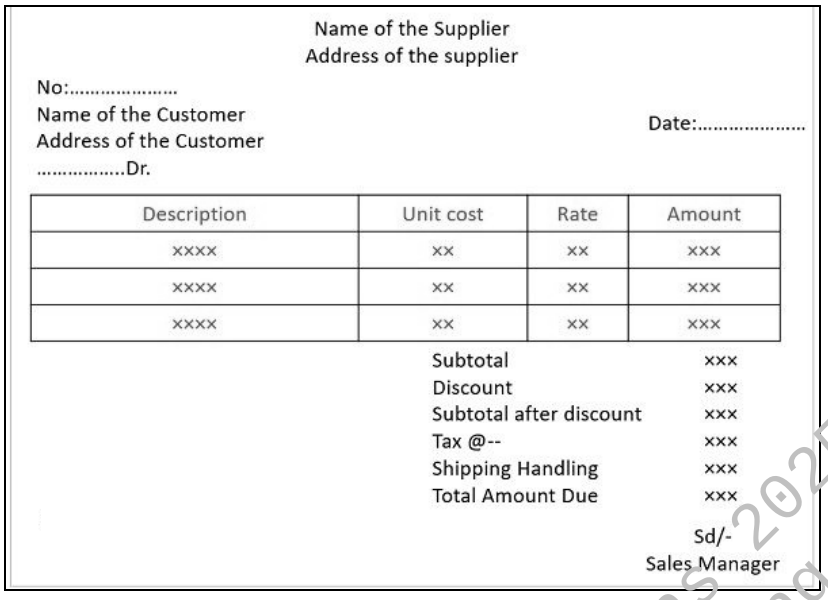
12. A petty cashier disbursed funds to an office peon for handling the receipt of business correspondence from courier service deliveries.

The issued funds in the petty cashbook would be analysed as

A. travel expenses.
B. postage expenses.
C. miscellaneous expenses.
D. office entertainment expenses.

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13. Review the following image.



Name of the Supplier
Address of the supplier

No:.....
Name of the Customer
Address of the Customer
.....Dr.

Date:.....

Description	Unit cost	Rate	Amount
xxxx	xx	xx	xxx
xxxx	xx	xx	xxx
xxxx	xx	xx	xxx

Subtotal	xxx
Discount	xxx
Subtotal after discount	xxx
Tax @--	xxx
Shipping Handling	xxx
Total Amount Due	xxx

Sd/-
Sales Manager

The given document, which is used as a source document while maintaining special journals is known as

A. invoice.
B. voucher.
C. debit note.
D. credit note.

14. The PRIMARY objective of preparing a cash book in a business is to

A. manage the cash efficiency and accuracy of cash balance.
B. record the details and descriptions of vendors involved.
C. reconcile the bank balances and banking transactions.
D. track record of all the credit transaction.

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15. United Traders sold goods to Allied Brothers for Rs 25,000 on account. Allied Brothers have returned a few articles worth Rs 5,000 as they were not appropriate to the given order.

The general journal entry for the given transaction in the books of Allied Brothers would be

	Particular	P/R	Debit	Credit
A	Purchase return		25,000	
	Trade payable (account payable) (United Traders)			25,000
B	Trade receivable (account receivable) (United Traders)		25,000	
	Purchase return			25,000
C	Purchase return		25,000	
	Trade receivable (account receivable) (United Traders)			25,000
D	Trade payable (account payable) (United Traders)		25,000	
	Purchase return			25,000

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16. Ayan & Sons sold goods worth Rs 10,000 to Areej Traders (on account).

The given transaction is recorded in the books of Ayan & Sons as

	Particular	P/R	Debit	Credit
A	Purchase		10,000	
	Trade payable (account payable) (Ayan & Sons)			10,000
B	Trade payable (account payable) (Ayan & Sons)		10,000	
	Purchase			10,000
C	Trade receivable (account receivable) (Areej Traders)		10,000	
	Sales			10,000
D	Sales		10,000	
	Trade receivable (account receivable) (Areej Traders)			10,000

17. Review the given accounting record:

Cash					
01.01	Balance	20,000	02.01	Purchase	10,200
03.01	Sales	7,500	04.01	Advertisement	11,500
05.01	Commission	500			

The balancing amount of the given T-account (skeleton) would be

A. Rs 6,300
B. Rs 21,700
C. Rs 28,000
D. Rs 34,300

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18. The defining characteristic of a 'current account' in the banking system of Pakistan is that it involves depositing funds with a

    A. long-term perspective and an expectation of no returns.
    B. short-term perspective and an expectation of no returns.
    C. long-term perspective and an expectation of high returns.
    D. short-term perspective and an expectation of high returns.

19. The document that is issued by the bank to its clients containing their transactional history is known as the

    A. bank's financial statement.
    B. customer's bank statement.
    C. firm's receipt and payment.
    D. bank's ledger at the business record.

20. A business receives a cheque worth Rs 100,000 against the guarantee for an on-account sales. The cheque is deposited for clearance and would be adjusted on the given date.

    At the time of bank reconciliation, the given cheque will be classified as

    A. uncleared cheque.
    B. outstanding cheque.
    C. unpresented cheque.
    D. NSF (non-sufficient fund) cheque.

21. The following bank reconciliation statement has been prepared by Quantum Limited.

Particulars	**Amount (Rs)**
bank overdraft per bank statement	38,600
deposits not credited	41,200
outstanding cheques	3,300
overdraft per cashbook	76,500

    Based on the given reconciliation, the ADJUSTED bank account balance as per the bank statement would be

    A. Rs (5,900)
    B. Rs (700)
    C. Rs 700
    D. Rs 5,900

22. The accounting error that affects the trial balance is known as an error of

    A. casting.
    B. omission.
    C. commission.
    D. transposition.

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23. An item of sales return was wrongly posted in the purchase return account.

The general entry to correct the given error would be then

	Particular	P.R.	Debit	Credit
A	Sales return		XXX	
	Purchase return			XXX
B	Purchase return		XXX	
	Sales return			XXX
C	Suspense account		XXX	
	Sales return			XXX
D	Sales return		XXX	
	Suspense account			XXX

24. An account that is temporarily created to balance a trial balance is known as

A. contra account.
B. personal account.
C. suspense account.
D. Provision (allowance) account.

25. An item of sales return was wrongly posted in the purchase return account.

The impact of the given error would be that the

A. gross profit and net sales will be overstated.
B. gross profit and net sales will be understated.
C. net sales will be overstated and the gross profit will be unaffected.
D. net sales will be unaffected and the gross profit will be overstated.

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26. Quantum Furnitures purchased a woodcutter machine for Rs 300,000 with a projected working lifespan of 15,000 hours. The machine's depreciation was charged by 3,000 hours for a year.

After examining the machine's register, it was identified that it was utilised for an additional 500 hours in the current year to meet the production targets.

The amount of adjustment in the yearly Provision (allowance) of depreciation for the current year would be

A. Rs 10,000
B. Rs 50,000
C. Rs 60,000
D. Rs 70,000

27. Uzma wrongly recorded sales returns of Rs 20,000 as purchases. This was identified at the time of recording adjusting entries.

Based on the given situation, what will be the effect on gross profit and net profit?

	Gross profit	**Net profit**
A	Increases	Decreases
B	No effect	Decreases
C	No effect	No effect
D	Decreases	Increases

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28. The following is the ledger of 'Provision (allowance) for bad debts (doubtful debts)':

Provision (allowance) for Bad debts (doubtful debts)					
Date	**Particular**	**Amount**	**Date**	**Particular**	**Amount**
	Write-off	8,000		Balance	15,000
				Bad debts (doubtful debts) expense	12,000

The business's outstanding debts amount to Rs 150,000 and it follows the policy of maintaining a 15% provision (allowance) for bad debts (doubtful) debts.

Based on the given scenario, the adjusting entry to record bad debts (doubtful debts)' for the year would be

	Particular	**P.R.**	**Debit**	**Credit**
A	Bad debts (doubtful debts) expense		3,500	
	Provision (allowance) for bad debts (doubtful debts)			3,500
B	Bad debts (doubtful debts) expense		4,500	
	Provision (allowance) for bad debts (doubtful debts)			4,500
C	Bad debts (doubtful) debts expense		13,500	
	Provision (allowance) for bad debts (doubtful debts)			13,500
D	Bad debts (doubtful) debts expense		22,500	
	Provision (allowance) for bad debts (doubtful debts)			22,500

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29. The opening entries are prepared for

A. carrying forward the balances of assets, liabilities and capital accounts.
B. bringing forward the balances of expenses and revenues.
C. ascertaining the net profit of the previous year.
D. balancing the provision (allowance) accounts.

30. The trial balance of Inam Associates shows insurance expense of Rs 50,000, whereas the adjusting data shows the accrued insurance of Rs 70,000.

    Based on the given information, the adjusted amount of insurance expense shown in the books of Inam Associates will be

    A. Rs 20,000
    B. Rs 50,000
    C. Rs 70,000
    D. Rs 120,000

31. The PRIME objective of preparing an income statement for a business organisation is to

    A. ascertain the net profit of the business.
    B. adjust the net value of assets of the business.
    C. report the net value liabilities of the business.
    D. compute the net value of receivables of the business.

32. The column **X** from the given accounting format of a ten-column worksheet is identified as



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    A. trail balance.
    B. adjustments.
    C. balance sheet.
    D. adjusted trail balance.

33. If a business account shows an advance salary of an employee by Rs 125,000 in the books account for the year, then this will be reversed at year end with

	Particular	P.R.	Debit	Credit
A	Salary expense		125,000	
	Salary payable			125,000
B	Salary receivable		125,000	
	Prepaid salary			125,000
C	Prepaid salary		125,000	
	Salary expense			125,000
D	Salary expense		125,000	
	Prepaid salary			125,000

34. The MAIN objective of recording depreciation of a non-current asset (fixed asset) in a business is to

A. realise the asset value.
B. ascertain the gross profit.
C. adjust the previous profit.
D. compute scrap value of the asset.

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Use the following scenario to answer Q.35, Q.36 and Q.37.

Etihad Textiles purchased a knitting plant for Rs 5,000,000 with a cash discount of 10% with a credit term 2/10, n/30. The business has availed the credit term.

The following expenditures occurred while installing the knitting plant at their factory.

- Loading and unloading wages Rs 15,000
- Transportation expenditure Rs 15,000
- Foundation charges Rs 15,000
- Fire insurance annual premium of Rs 15,000
- Electrical fittings and lighting charges for the factory compound Rs 15,000

35. The expenditure computed as 'capital expenditure (extra ordinary expenditures)' would be

    A. Rs 15,000
    B. Rs 30,000
    C. Rs 45,000
    D. Rs 60,000

36. The credit payment terms 2/10, n/30 expresses that

    A. a 10% discount will be awarded if the payment is made within 2 days of invoice date otherwise, the full amount is payable within 30 days of invoice date.
    B. a 2% discount will be awarded if the payment is made within 10 months of invoice date otherwise, the full amount is payable within 30 months of invoice date.
    C. a 0.5% discount will be awarded if the payment is made within 10 days of invoice date otherwise, the full amount is payable within 30 days of invoice date.
    D. a 2% discount will be awarded if the payment is made within 10 days of invoice date otherwise, the full amount is payable within 30 days of invoice date.

37. The 'Net Trade Price' of the knitting plant to be recorded in the books of Etihad Textiles would be

    A. Rs 4,400,000
    B. Rs 4,460,000
    C. Rs 4,500,000
    D. Rs 4,900,000

38. Consider the formula.

    Depreciation = (cost of the machine – salvage value) / life span of a machine

    In the given formula, the term salvage value refers to the

    A. cost price of the asset.
    B. estimated disposal value.
    C. cash to be paid when asset is purchased.
    D. offered trade of value of the asset.

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39. Alina Boutique has exchanged its embroidery machine with an updated version from a company in an exchange offer availing 40% trade of value (i.e. exchange value of the old machine) by paying cash Rs 250,000 only. The new machine costs Rs 400,000.

Based on the given information, the 'cost of the old machine' that was depreciated would be

A. Rs 100,000
B. Rs 150,000
C. Rs 225,000
D. Rs 375,000

40. Aman Traders recorded annual depreciation of its machinery plant by Rs 350,000. The closing entry for the recorded depreciation would be

	Particular	P.R.	Debit	Credit
A	Plant machinery		350,000	
	Depreciation expense			350,000
B	Provision (allowance) for depreciation		350,000	
	Depreciation expense			350,000
C	Provision (allowance) for depreciation		350,000	
	Plant machinery			350,000
D	Expense and revenue summary		350,000	
	Depreciation expense			350,000

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END OF PAPER

Please use this page for rough work

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